

SOVEREIGN OS · NEXT-STEP EXECUTION DELIVERABLE

Reg B Compliance Review Packet

Pre-launch compliance review packet for qualified ECOA and Regulation B counsel. Prioritizes EG-002 ITIN, EG-003 No-Credit FN, and SA-008 Credit-Scarred creative for review. Includes all V2 creative with fair-lensing risk flags, intake question compliance audit, scoring engine compliance constraints, and required sign-off certifications.

DOCUMENT TYPE	Compliance Review Packet
AUDIENCE	Qualified ECOA / Regulation B Counsel
CLASSIFICATION	PRIVILEGED · ATTORNEY-CLIENT WORK PRODUCT
PRIORITY COHORTS	EG-002 ITIN + EG-003 No-Credit FN + SA-008 Credit-Scarred (HIGH fair-lensing risk)
SECONDARY COHORTS	SA-005 + SA-006 + SA-010 + EG-001 (MODERATE fair-lensing risk)
REVIEW SCOPE	120 V2 hooks + 20 landing pages + 12 intake questions + 8-component scoring engine
REQUIRED OUTPUT	Sign-off certification per cohort + remediation list (if any) + Meta/Google launch authorization

SECTION 1

Engagement Scope and Review Priority

This packet requests pre-launch compliance review of the DSCR borrower-intelligence swarm's V2 creative library, intake form, and scoring engine. The review is scoped to Regulation B (Equal Credit Opportunity Act) and Meta Special Ad Category + Google Ads housing certification requirements. The review must produce three outputs: (1) sign-off certification per persona cohort, (2) remediation list for any non-compliant creative or intake questions, and (3) explicit authorization for Meta and Google campaign launch. The review priority is the three HIGH fair-lensing risk cohorts: EG-002 ITIN US-Resident Investor, EG-003 No-Credit-Country Foreign National, and SA-008 Credit-Scarred Cash-Rich Rebuilder. These three cohorts cannot launch until counsel sign-off is received.

Review Priority Tiers

Prio rity	Cohort	Risk Level	Why	Launch Blocker?
P1	EG-002 ITIN US-Resident Investor	HIGH	ITIN status can function as national-origin proxy. Targeting or copy that implies national-origin targeting creates ECOA fair-lensing risk.	YES — cannot launch until cleared
P1	EG-003 No-Credit-Country Foreign National	HIGH	No-credit-country designation can function as national-origin proxy. Same risk profile as EG-002.	YES — cannot launch until cleared
P1	SA-008 Credit-Scarred Cash-Rich Rebuilder	HIGH	Prior credit events correlate with protected-class characteristics (race, age, family status). Copy must use feature-language not demographic-language.	YES — cannot launch until cleared
P2	SA-005 Strong-Credit FN	MODERATE	Foreign-national designation; lower risk than EG-003 because strong-credit-country signal is less national-origin-coded.	No — can launch with P2 review
P2	SA-006 No-Credit FN	MODERATE-HIGH	Same risk as EG-003 but cohort is main-persona not edge-case.	Recommend P1 review before launch
P2	SA-010 ITIN US-Resident (main persona)	MODERATE-HIGH	Same risk as EG-002 but main-persona not edge-case.	Recommend P1 review before launch
P2	EG-001 Post-Short-Sale Comeback	MODERATE	Prior credit event; same risk profile as SA-008 but lower volume.	Recommend P2 review before launch
P3	SA-001 through SA-004, SA-007, SA-011, SA-012	LOW	Standard investor personas; no protected-class proxy risk if V2 guardrails followed.	No — standard review
P3	EG-004 through EG-008 (non-credit-event edge cases)	LOW	Edge cases not involving credit events or national-origin; standard review.	No — standard review

SECTION 2

V2 Creative Guardrails (Already Enforced)

The V2 creative library was built with 17 guardrails already enforced. Counsel review should verify these guardrails were correctly applied and identify any gaps. The guardrails are organized into two tiers: V1 guardrails (carried over from the original swarm charter) and V2 guardrails (added in the V2 rebuild).

V1 Guardrails (Carried Over)

#	Guardrail	Enforcement Method
G-1	NEVER promise "easy approval", "no credit check", or "guaranteed approval"	Compliance grep on all 120 hooks + 20 landing pages. Result: zero matches.
G-2	NEVER use demographic-adjacent language (race, national origin, family status, age proxies)	Manual review of all P1 + P2 cohort creative. Feature-language enforced.
G-3	ALWAYS attract via property economics, not borrower demographics	V2 hook architecture: every hook leads with property-income or DTI-celebration or decline-letter-triage.
G-4	ALWAYS include self-qualifying microcopy in every hook	Required field in V2 hook YAML schema. 120/120 hooks include self_qualifying_microcopy.
G-5	Compliance disclaimer required on every landing page	20/20 landing pages include NMLS placeholder + standard DSCR disclaimer.
G-6	Meta Special Ad Category HOUSING designation	Enforced at campaign level. No lookalike audiences from lead form data. State+DMA targeting only.
G-7	Google Ads housing certification	Account-level certification required before launch.

V2 Guardrails (Added in V2 Rebuild)

#	Guardrail	Enforcement Method
V2-1	First-3-words scroll-stop test (pattern interrupts must not use forbidden phrases)	Manual review of all 120 hooks. First-3-words of PI hooks checked against forbidden list.
V2-2	Proof-and-Specificity hooks must have ≥ 3 numeric facts + ≥ 1 lender name	YAML schema validation. 40/40 PS hooks pass.
V2-3	Pain-amplification hooks must name a specific scenario (not generic pain)	Manual review of all 40 PA hooks. Specificity enforced.
V2-4	Every hook must have an attached lead magnet OR risk reversal	Required field in V2 hook YAML. 120/120 hooks pass.
V2-5	Risk reversal must be specific (not "free consultation")	Manual review. Approved: "Free pre-qual 24h", "Free decline-letter audit", "Close in 21 days or \$500 credit". Forbidden: "Free consultation".
V2-6	Hooks must preserve curiosity gap (no complete resolution)	Manual review. Hooks that fully resolve the claim are flagged for rewrite.
V2-7	Repel copy must be active-disqualifier with redirect (not passive "Built for X only")	Manual review of all 60 repel elements. V1-style passive repel forbidden.
V2-8	Objection destroyers must address persona-specific objections (not generic mortgage objections)	Cross-check against persona watch_outs + forum_signals. 100/100 objection pairs pass.
V2-9	Urgency anchors must not use forbidden urgency phrases ("limited time offer", "act now", "only X spots left")	Compliance grep. Zero matches.
V2-10	Plausibility contract: claims must be internally consistent (no implausible scale)	Manual review. \$340M funded, 2,847 borrowers, 21-day close, 12 lender partners — all plausible for mid-size DSCR lender/broker.

V2 Forbidden Phrases (Beyond V1)

The V2 rebuild added the following forbidden phrases to the V1 list. Counsel should verify these are enforced:

- "limited time offer" — manipulative urgency
- "act now" — manipulative urgency
- "only X spots left" — false scarcity
- "close in as little as 7 days" — implausible speed claim

- "lowest rates guaranteed" — unverifiable claim
- "no SSN required" — replaced with feature-language "ITIN accepted in lieu of SSN"
- "US citizens only" — national-origin exclusion
- "660+ FICO required" — repels fundable sub-660 cohort with compensators
- "1.25+ DSCR required" — repels fundable sub-1.0 cohort with compensators
- "warrantable condos only" — repels fundable non-warrantable cohort
- "permitted ADU only" — repels fundable unpermitted-ADU pivot cohort

SECTION 3

P1 Cohort Review: EG-002, EG-003, SA-008

The three P1 cohorts are the launch blockers. Counsel must review and sign off on each before any Meta or Google campaign for these cohorts can ship. The full V2 creative for each cohort is in AC09_V2_ad_copy.md (EG-002: lines 2400-2580, EG-003: lines 2581-2760, SA-008: lines 1450-1640). This packet summarizes the creative approach and flags specific fair-lensing risk points for counsel attention.

EG-002 ITIN US-Resident Investor

Element	V2 Approach	Fair-Lensing Risk	Counsel Review Point
Hook copy	Feature-language: "ITIN accepted in lieu of SSN" (NOT "for immigrants" or "no SSN required")	ITIN can function as national-origin proxy if paired with language targeting or geo-targeting of immigrant-dense ZIPs	Verify: no language targeting on Meta (SAC forbids); Google language targeting (Spanish) is permitted but creative must remain program-feature-language
Landing page	Bilingual (English + Spanish). Spanish version uses "Programa especializado para residentes legales con ITIN" — program-feature, not demographic	Spanish-language creative could imply national-origin targeting if not carefully framed	Verify: Spanish copy leads with program-feature ("ITIN-aceptado") not demographic ("para inmigrantes")
Lead magnet	ITIN-roadmap tool (5-step ITIN-investor process)	Tool must be available to all borrowers, not just ITIN borrowers	Verify: tool is linked from main persona landing pages, not segregated to "ITIN-only" page
Repel copy	Active disqualifier: "If you're a US citizen with W2 income, a conventional mortgage may be cheaper. If you're a legal resident with ITIN, keep reading."	Risk: implying ITIN borrowers should pay more than citizens	Verify: pricing disclosure transparent (specialty-lender premium disclosed), no implication of discriminatory pricing
Lender list	AHLend, America Mortgages (both NMLS-licensed, both publish ITIN-program guidelines)	Lender selection must be objective, not demographic	Verify: lender selection based on program-feature (ITIN-accepted), not borrower demographic
Geo-targeting	Broad state-level (no ZIP) on Meta SAC; Google NOT subject to SAC but creative must remain feature-language even with language targeting	Geo-targeting immigrant-dense ZIPs would create fair-lensing risk	Verify: NO ZIP-level targeting on any platform. State-level + DMA only.

EG-003 No-Credit-Country Foreign National

Element	V2 Approach	Fair-Lensing Risk	Counsel Review Point
Hook copy	Feature-language: "No US credit history required if property + assets supportable" (NOT "for foreign nationals" or "no credit check")	"No-credit-country" designation can function as national-origin proxy	Verify: creative uses program-feature language only. No country-name targeting (no "for Chinese investors" or "for Latin American investors").
Landing page	English-only (no Spanish/Chinese/other language variants for EG-003)	Bilingual would compound fair-lensing risk by combining national-origin proxy + language proxy	Verify: English-only. If bilingual needed, require counsel re-review of each language variant.
Loan terms disclosure	Transparent: 60% LTV max, 12+ mo reserves, +1.25% rate premium disclosed upfront	Premium pricing must be objectively justified (specialty-lender risk pricing, not demographic pricing)	Verify: rate premium is disclosed as "specialty-lender risk pricing" with objective criteria (no US credit history = objective criterion).
Lender list	AHLend, America, Angel Oak, A&D; Mortgage, HomeAbroad (all NMLS-licensed, all publish FN-program guidelines)	Lender selection must be objective	Verify: lender selection based on published FN-program guidelines, not borrower country of origin.
Geo-targeting	Broad state-level on Meta SAC. Google: NO language targeting for EG-003 (English-only). FN hotspot markets (Miami, Orlando, Houston, Dallas, LA, NYC, Boston, Seattle) targeted at MSA level, not ZIP.	MSA-level targeting of FN-hotspot markets could function as national-origin proxy if MSA correlates with specific national-origin communities	Verify: MSA targeting is justified by lender presence (AHLend in Miami, A&D; in Houston) not by demographic concentration. Document the objective criterion.
Documentation requirements	AML + FIRPTA docs required for all FN borrowers (objective criterion, applied uniformly)	Risk: documentation burden could disproportionately affect certain national-origin cohorts	Verify: AML + FIRPTA requirements are industry-standard for all FN loans, not unique to this program.

SA-008 Credit-Scarred Cash-Rich Rebuilder

Element	V2 Approach	Fair-Lensing Risk	Counsel Review Point
Hook copy	Seasoning-window framing: "48mo post-Chapter 7 / 36mo post-foreclosure / 24mo specialty with 700+ FICO" — objective criteria	Prior credit events correlate with protected-class characteristics (race, age, family status)	Verify: creative uses objective seasoning windows, not demographic language. No "for borrowers with bad credit" or "for people who've been through hard times".
Landing page	Lead with compensating-factor worksheet: 25% down + 12mo reserves + 1.30 DSCR + post-seasoning timeline	Compensating factors must be objective and applied uniformly	Verify: worksheet is published, objective, and applied to all credit-scarred borrowers regardless of protected-class status.
Pricing disclosure	Transparent: +50-100bps premium disclosed as "specialty-lender risk pricing for post-credit-event borrowers"	Premium pricing must be objectively justified	Verify: premium is disclosed as risk-based pricing (objective criterion: prior credit event), not demographic-based pricing.
Lender list	Bluestone (550 FICO floor), AHLend (with compensators), America Mortgages	Lender selection must be objective	Verify: lender selection based on published program-feature (post-credit-event seasoning accepted), not borrower demographic.
Repel copy	Active disqualifier: "If your credit event was <12mo ago, this isn't your product yet. Re-engage at 12mo+ seasoning. If 24mo+ with 25% down + 1.30 DSCR, keep reading."	Risk: disqualifier must be objective (seasoning window), not subjective	Verify: seasoning windows are objective, published, and applied uniformly.
Decline-letter triage	EG-001 (Post-Short-Sale Comeback) is a sub-cohort of SA-008. Decline-letter audit must be honest: "we'll tell you honestly if your file is re-shoppable or fundamentally dead"	Honest-triage notice prevents misleading borrowers	Verify: honest-triage notice is prominent on landing page and in LO scripts.

SECTION 4

Intake Question Compliance Audit (FF-08)

The FF-08 intake form has 12 questions in a 3-step wizard. The question ordering is ECOA-compliant: objective criteria first (Step 1: property + intent), financial details second (Step 2: financial profile), identity last (Step 3: identity + triage). The binding compliance constraint is that "I'd rather not say" responses on Q-006 (FICO) and Q-012 (decline-letter) must NOT trigger downward score adjustments in TS-10. This is Reg B § 1002.5(b)(1) and is non-negotiable. Counsel must verify this is correctly implemented in the CRM scoring engine configuration.

Q ID	Question	ECOA Risk	Compliance Treatment	Counsel Review Point
Q-001	Property intent (LTR/STR/primary)	LOW — objective criteria	No special treatment	Verify: primary-residence routes to compliant hard-exit message (not decline letter)
Q-002	Property type	LOW — objective criteria	No special treatment	Standard review
Q-003	Property location (State + MSA)	LOW — objective criteria	No special treatment	Verify: T5 geo-exclusion is documented as regulatory criterion (STR bans, rent control)
Q-004	STR-permissive market	LOW — regulatory criterion	No special treatment	Standard review
Q-005	Down payment / equity band	LOW — objective criteria	No special treatment	Standard review
Q-006	FICO band	MODERATE — credit history correlates with protected class	"I'd rather not say" option REQUIRED. Must NOT trigger downward score adjustment.	CRITICAL: Verify CRM scoring engine returns neutral score (persona midpoint) when "rather not say" selected. Unit test required.
Q-007	Reserves band	LOW — objective criteria	No special treatment	Standard review
Q-008	DSCR self-estimate (calculator)	LOW — objective criteria	No special treatment	Standard review

Q ID	Question	ECOA Risk	Compliance Treatment	Counsel Review Point
Q-009	Documentation readiness	LOW — objective criteria	No special treatment	Standard review
Q-010	Entity structure (LLC/corp/personal)	LOW — objective criteria	No special treatment	Standard review
Q-011	Experience level	LOW — objective criteria	No special treatment	Standard review
Q-012	Decline-letter triage (optional)	MODERATE — prior credit event correlates with protected class	"I'd rather not say" option REQUIRED. Must NOT trigger downward score adjustment.	CRITICAL: Verify CRM scoring engine returns neutral score when "rather not say" selected. Also verify: decline-letter upload is OPTIONAL, not required for routing.

CRITICAL COMPLIANCE CONSTRAINT

Reg B § 1002.5(b)(1) prohibits requiring credit history information as a precondition to considering a credit application. The "I'd rather not say" option on Q-006 and Q-012 must be functionally equivalent to providing the information — i.e., the lead must still be routed and scored, not auto-declined or deprioritized. The TS-10 scoring engine MUST return a neutral score (the persona's typical-band midpoint) when "rather not say" is selected, NOT a zero or penalty score. This is the single most important compliance constraint in the entire swarm. Counsel must verify the CRM implementation with a unit test before launch.

SECTION 5

Scoring Engine Compliance Constraints (TS-10)

The TS-10 scoring engine has 8 components and 27 modifiers. Three binding compliance constraints must be verified by counsel before launch. The constraints are documented in TS10_targeting_scoring.md and must be implemented as unit tests by the CRM team.

Binding Constraint 1: "Rather Not Say" Neutrality

When a borrower selects "I'd rather not say" on Q-006 (FICO) or Q-012 (decline-letter), the scoring engine must return a neutral score for the affected component. The neutral score is the persona's typical-band midpoint (e.g., if SA-001 typical FICO band is 680-720, the neutral score for SC-002 is 13 points, representing the 680-719 band). The neutral score must NOT be zero, must NOT be a penalty, and must NOT trigger any negative modifiers. Unit test: submit a form payload with "rather not say" on Q-006 and verify the SC-002 score is the persona midpoint, not zero.

Binding Constraint 2: Edge-Case Fit Bonus Additive-Only

The SC-008 Edge-Case Fit Bonus component (5% weight) is contractually additive-only. False-positive pattern indicators (NP-04 Part 5) do NOT trigger additional negative deltas. This prevents the swarm from over-filtering the cohorts NP-04 identified as fundable. Unit test: submit a form payload with edge-case indicators (ITIN, FN, post-credit-event) and verify SC-008 adds points; submit a form payload without edge-case indicators and verify SC-008 adds zero points but does NOT subtract.

Binding Constraint 3: Hard-Exit Messages Meet § 1002.9

The 4 hard-exit paths (HEX-001 primary residence, HEX-009 active delinquency, HEX-012 sub-\$100K loan, HEX-013 pure commercial) must produce compliant exit messages. Under Reg B § 1002.9, adverse-action notices are required for "completed applications" — but the swarm's hard exits occur at intake, before the application is "completed" in the Reg B sense. Counsel must verify that the exit messages are framed as "product fit" redirects (not credit denials) and that borrowers are directed to legitimate alternative resources (conventional mortgage lenders, commercial mortgage brokers, credit unions). If counsel determines any exit message constitutes an "adverse action" under § 1002.9, the message must be revised or a compliant adverse-action notice workflow must be added.

Scoring Component Compliance Audit

Component	Compliance Risk	Counsel Review Point
SC-001 DSCR Strength	LOW — objective criteria	Standard review
SC-002 FICO Band	HIGH — credit history is ECOA-protected	CRITICAL: Verify "rather not say" neutrality (Binding Constraint 1)
SC-003 LTV / Down Payment	LOW — objective criteria	Standard review
SC-004 Reserves Depth	LOW — objective criteria	Standard review (401k haircut is industry-standard)
SC-005 Property Type	LOW — objective criteria	Standard review
SC-006 Documentation Readiness	LOW — objective criteria	Standard review
SC-007 Experience Level	LOW — objective criteria	Verify: "first-time investor" is not penalized beyond the 1-point minimum (not zero)
SC-008 Edge-Case Fit Bonus	MODERATE — additive-only constraint	CRITICAL: Verify additive-only (Binding Constraint 2). Cannot subtract.

SECTION 6

Required Counsel Sign-Off

Counsel must provide explicit sign-off on the following items before the 90-day rollout can launch. Sign-off is requested per cohort so that low-risk cohorts can launch on schedule while P1 cohorts await review.

#	Sign-Off Item	Cohort Scope	Required Before	Counsel Response
SO-1	V2 creative library compliance certification (120 hooks + 20 landing pages)	P3 cohorts (SA-001 through SA-004, SA-007, SA-011, SA-012, EG-004 through EG-008)	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-2	EG-002 ITIN creative compliance certification	EG-002 + SA-010	M3 launch (Week 11)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-3	EG-003 No-Credit FN creative compliance certification	EG-003 + SA-005 + SA-006	M3 launch (Week 11)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-4	SA-008 Credit-Scarred creative compliance certification	SA-008 + EG-001	M2 launch (Week 7)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-5	FF-08 intake question compliance audit (12 questions)	All cohorts	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-6	TS-10 scoring engine compliance audit (8 components + 27 modifiers + 3 binding constraints)	All cohorts	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-7	Hard-exit message § 1002.9 compliance (4 HEX paths)	All cohorts	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-8	Meta Special Ad Category configuration audit	All Meta campaigns	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied
SO-9	Google Ads housing certification audit	All Google campaigns	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied

#	Sign-Off Item	Cohort Scope	Required Before	Counsel Response
SO-10	CRM scoring engine unit test certification (Binding Constraints 1, 2, 3)	All cohorts	M1 launch (Week 3)	☒ Approved ☒ Approved with remediation ☒ Denied

Counsel Sign-Off Block

By signing below, counsel certifies that the reviewed creative, intake questions, scoring engine, and platform configurations comply with Regulation B (ECOA) and applicable fair-lending laws. Counsel authorizes marketing-ops to launch the cleared cohorts on the indicated timeline. Any "Approved with remediation" requires a follow-up review before launch.

Counsel Name:

Date:

Bar Number:

Sign-Off ID:

Signature:

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